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Destination Switzerland

Individual Taxation

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Switzerland is a top choice for wealthy individuals seeking a secure, sophisticated base. The country's long-standing political and legal stability, underpinned by an independent judiciary and predictable regulatory environment, provides exceptional protection for personal wealth and estate planning. The country's reputation for neutrality and discretion complements world-class private banking, wealth management and family office services, delivered within a highly developed financial infrastructure.

This is the second in a three-part series outlining the practical considerations for moving to Switzerland, with this instalment exploring the attractive individual taxation framework.

Who is considered tax resident in Switzerland?

Individuals are considered Swiss tax residents if they meet any of the following conditions:

- Having their personal and economic centre of life (i.e., centre of vital interests) in Switzerland;
- Spending at least 30 days in Switzerland while exercising a gainful activity;
- Spending 90 or more days in Switzerland without exercising a gainful activity.

Individuals who are considered tax residents in Switzerland are subject to taxation on their worldwide income and assets, excluding income from business activities carried out abroad, foreign permanent establishments and real estate situated abroad.

What types of taxes apply to individuals?

Swiss tax resident individuals are subject to different types of taxes, which are levied at three different levels - federal, cantonal, and communal. The main taxes applicable to Swiss tax residents include income tax, wealth tax, inheritance and gift taxes, real estate capital gains tax, as well as additional contributions such as social security and pension schemes. The maximum tax rates for high incomes range from 22.2% (Zug) to 45.0% (Geneva).



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How is income tax levied?

Income tax is levied at all three levels in Switzerland: federal, cantonal, and communal. It is the primary tax on earnings and is calculated on a progressive scale, with rates varying between cantons. Income tax applies to all types of income, including salaries, self-employment earnings, pensions, rental income, and investment income.

Dividends and interest are taxed as ordinary income, whereas capital gains on privately held movable assets (such as shares) are generally tax-free unless classified as professional trading. Dividends benefit from a reduced tax base if the shareholder holds at least a 10% stake.

Wealthy foreigners who wish to reside in Switzerland without engaging in gainful employment may consider applying for the lump-sum taxation regime. Under this regime, their tax liability is calculated based on their living expenses rather than their actual income.

How is wealth tax imposed?

Swiss tax residents are also subject to wealth tax which is only levied on cantonal and communal level. Wealth tax is levied annually to an individual's net assets (total assets minus debts). Tax rates are progressive and vary between cantons and municipalities. The maximum tax rates range from 0.13% (Nidwalden) to 1.01% (Geneva).

In which circumstances is an inheritance and gift tax levied?

Inheritance and gift taxes are imposed at the cantonal and communal levels in Switzerland, with no such taxes levied at the federal level. Notably, the cantons of Schwyz and Obwalden do not impose inheritance or gift taxes, while the canton of Lucerne exempts only gift taxes. Tax rates vary between cantons and depend on the degree of relationship between the donor or deceased and the recipient. Transfers between spouses are exempt from inheritance and gift taxes in all cantons, and most cantons also exempt transfers between direct descendants.

How does Switzerland address the issue of double taxation?

Switzerland, boasting one of the world's most extensive networks of double taxation agreements with over 100 treaties effectively minimizes the risk of double taxation. Generally, this is achieved through the 'exemption with progression' method, whereby all income is considered to determine the applicable tax rate, but no tax is charged on the income exempted under the agreement.

Contacts

Our Support

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